

Part I

Problem 1. Let X have PDF $f(x) = \begin{cases} 2x: 0 < x < 1 \\ 0: \text{otherwise} \end{cases}$

- (a) compute $E[X]$ and $V(X)$
 (b) Let $Y = X^2$. Find the PDF of Y
 (c) Verify Jensen's inequality for $\phi(x) = x^2$ by comparing $E[X^2]$ and $(E[X])^2$

(a) $E[X] = \int_{-\infty}^{\infty} x f_X(x) dx = \int_0^1 x (2x) dx = 2 \int_0^1 x^2 dx = 2 \left[\frac{x^3}{3} \right]_0^1 = 2 \cdot \frac{1}{3} = \frac{2}{3} \rightarrow E[X] = \frac{2}{3}$

Now let's compute $E[X^2] = \int_0^1 x^2 (2x) dx = \int_0^1 2x^3 dx = 2 \left[\frac{x^4}{4} \right]_0^1 = 2 \cdot \frac{1}{4} = \frac{1}{2}$

$Var(X) = E[X^2] - (E[X])^2 \rightarrow Var(X) = \frac{1}{2} - \left(\frac{2}{3}\right)^2 = \frac{1}{2} - \frac{4}{9} = \frac{9}{18} - \frac{8}{18} = \frac{1}{18} \rightarrow Var(X) = \frac{1}{18}$

(b) Compute the CDF $F_Y(y) \rightarrow F_Y(y) = P(Y \leq y) = P(X^2 \leq y)$
 If $y \leq 0$: since $Y > 0$, $F_Y(y) = 0$
 If $0 < y < 1$: because $X > 0$, $X^2 \leq y \Leftrightarrow X \leq \sqrt{y}$
 $F_Y(y) = P(X \leq \sqrt{y}) = \int_0^{\sqrt{y}} 2x dx$
 Compute $\int_0^{\sqrt{y}} 2x dx = \left[x^2 \right]_0^{\sqrt{y}} = y$ for $0 < y < 1$, $F_Y(y) = y$
 If $y \geq 1$: since $Y < 1$, $F_Y(y) = 1$

So the CDF is: $F_Y(y) = \begin{cases} 0, & y < 0 \\ y, & 0 < y < 1 \\ 1, & y \geq 1 \end{cases}$

Now let's Differentiate to get the PDF (for $0 < y < 1$)

$f_Y(y) = \frac{d}{dy} F_Y(y) = \frac{d}{dy} (y) = 1$

Thus

$f_Y(y) = \begin{cases} 1, & 0 < y < 1 \\ 0, & \text{otherwise} \end{cases} \rightarrow \text{This is the uniform } (0,1) \text{ density (PDF=1 on } [0,1])$

(c) Jensen (for convex ϕ) says $\phi(E[X]) \leq E[\phi(X)]$.

Here $\phi(x) = x^2$, so it predicts $(E[X])^2 \leq E[X^2]$

We computed $E[X] = \frac{2}{3} \rightarrow (E[X])^2 = \left(\frac{2}{3}\right)^2 = \frac{4}{9}$ and $E[X^2] = \frac{1}{2}$ compare $\frac{4}{9} \leq \frac{1}{2}$

convert to decimals or common denominator: $\frac{4}{9} \approx 0.444$, $\frac{1}{2} = 0.5$, so indeed $\rightarrow$

$(E[X])^2 = \frac{4}{9} \leq \frac{1}{2} = E[X^2]$. $\rightarrow$ Using the identity $Var(X) = E[X^2] - (E[X])^2$ gives $E[X^2] - (E[X])^2 \geq 0 \rightarrow$

$E[X^2] \geq (E[X])^2$, which is exactly Jensen for $\phi(x) = x^2$.

Problem 2. Let (X, Y) have joint density $f(x, y) = \begin{cases} 2 & : 0 < y < x < 1 \\ 0 & : \text{otherwise} \end{cases}$

(a) Find the marginal density of X and compute $E[X]$

(b) Find the conditional density $f_{Y|X}(y|x)$

(c) Compute $\text{cov}(X, Y)$

(a) The density is nonzero on $R = \{(x, y) : 0 < y < x < 1\}$ Means: $\{x \text{ ranges from } 0 \text{ to } 1\}$, $\{ \text{for each fixed } x \in (0, 1) \text{ } y \text{ ranges from } 0 \text{ up to } x. \}$

Before anything else, check it really integrates to 1 (so it's a valid joint PDF):

$$\int_0^1 \int_0^x 2 dy dx = \int_0^1 (2y \Big|_0^x) dx = \int_0^1 2x dx = x^2 \Big|_0^1 = 1 \text{ So it's valid (Wasserman Def 2.19)}$$

Marginal density $f_X(x)$ and $E[X]$

(a.1) Compute $f_X(x)$ By definition of marginal density, we integrate the joint density over all y values that are allowed for that x . For a given $x \in (0, 1)$, allowed y are $0 < y < x$. So:

$$f_X(x) = \int_0^x f_{X,Y}(x, y) dy = \int_0^x 2 dy = 2y \Big|_0^x = 2x, \quad 0 < x < 1 \text{ and } f_X(x) = 0 \text{ otherwise.}$$

$$\text{So } f_X(x) = \begin{cases} 2x, & 0 < x < 1 \\ 0, & \text{otherwise} \end{cases} \rightarrow f_X(x) = 2x \text{ on } (0, 1)$$

$$(a.2) \text{ Compute } E[X] \text{ use } E[X] = \int x f_X(x) dx \rightarrow E[X] = \int_0^1 x(2x) dx = \int_0^1 2x^2 dx = 2 \left(\frac{x^3}{3} \Big|_0^1 \right) = 2 \cdot \frac{1}{3} = \frac{2}{3}$$

$$\rightarrow E[X] = \frac{2}{3}$$

(b) Using the conditional density formula: $f_{Y|X}(y|x) = \frac{f_{X,Y}(x, y)}{f_X(x)}$

For $0 < x < 1$ and $0 < y < x$

$$f_{X,Y}(x, y) = 2$$

$$f_X(x) = 2x \text{ from (a.1)}$$

$$\text{So: } f_{Y|X}(y|x) = \frac{2}{2x} = \frac{1}{x}, \quad 0 < y < x \text{ and it is 0 outside that range.}$$

$$\text{So: } f_{Y|X}(y|x) = \begin{cases} \frac{1}{x}, & 0 < y < x, \quad 0 < x < 1 \\ 0, & \text{otherwise} \end{cases} \rightarrow \text{Quick check, must integrate to 1 over } y \int_0^x \frac{1}{x} dy = \frac{1}{x} y \Big|_0^x = \frac{1}{x} \cdot x = 1$$

$$\text{Then } f_{Y|X}(y|x) = \frac{1}{x} \text{ for } 0 < x < y$$

(c) Compute $\text{cov}(X, Y)$. We will use $\text{cov}(X, Y) = E[XY] - E[X]E[Y]$ (Wasserman Theorem 3.13)

We already have $E[X] = \frac{2}{3}$. Now we need $E[Y]$ and $E[XY]$

(c.1) Find $E[Y]$. From part (b) $f_{Y|X}(y|x) = \frac{1}{x}$ on $(0, x)$. Then we need to compute:

$$E[Y|X=x] = \int_0^x y \cdot \frac{1}{x} dy = \frac{1}{x} \int_0^x y dy = \frac{1}{x} \left(\frac{y^2}{2} \Big|_0^x \right) = \frac{1}{x} \cdot \frac{x^2}{2} = \frac{x}{2}. \text{ Now apply iterated expectation:}$$

$$E[Y] = E(E[Y|X]) \text{ (Wasserman Theorem 3.24)} \quad E[E(Y|X)] = E(Y) \text{ and } E[E(X|Y)] = E(X)$$

$$\text{So } E[Y] = E\left(\frac{X}{2}\right) = \frac{1}{2} E[X] = \frac{1}{2} \cdot \frac{2}{3} = \frac{1}{3}$$

(C.2) Find $E[XY]$, Again use conditional expectation: $E[XY] = E(E[XY|X])$

Given $X=x$, the value x is a constant, so: $E[XY|X=x] = x E[Y|X=x] = x \cdot \frac{x}{2} = \frac{x^2}{2}$

Thus $E[XY] = E\left(\frac{X^2}{2}\right) = \frac{1}{2} E[X^2]$. So we compute $E[X^2]$ from the marginal $f_X(x) = 2x$

$$E[X^2] = \int_0^1 x^2 (2x) dx = \int_0^1 2x^3 dx = 2 \left(\frac{x^4}{4} \Big|_0^1 \right) = 2 \cdot \frac{1}{4} = \frac{1}{2} \rightarrow E[XY] = \frac{1}{2} \cdot \frac{1}{2} = \frac{1}{4} \quad \text{(C.2)}$$

Replacing in covariance formula

$$\text{Cov}(X, Y) = E[XY] - E[X]E[Y] = \frac{1}{4} - \left(\frac{2}{3}\right)\left(\frac{1}{3}\right) = \frac{1}{4} - \frac{2}{9} = \frac{9}{36} - \frac{8}{36} = \frac{1}{36}$$

Then $\text{Cov}(X, Y) = \frac{1}{36}$

Problem 3

Let $X \sim \text{Exponential}(\lambda)$ and define $Y = \log X$

② Find the PDF of Y

① Can the PDF of Y be written in the form $f_Y(y|\theta) = g(y|\theta)$ for some function g and parameter θ ? If so, show it. Note: If you can write the PDF that way then it belongs to a "location family" [Not be confused with exponential family]

② Find $E[e^Y]$

③ First we need to identify the support of Y . Since $X \sim \text{Exponential}(\lambda)$, we know $X > 0$. So $Y = \log X$ can take any real value: $Y \in (-\infty, \infty)$.

Now let's check monotonicity and find the inverse. Let $g(x) = \log x$. on $x > 0$, g is strictly increasing, so we may use the monotone transformation theorem (4-transformations.pdf page 4)

Now let's solve $y = \log x$ for x : $x = e^y \rightarrow g^{-1}(y) = e^y$. Then differentiate:

$$\frac{d}{dy} g^{-1}(y) = \frac{d}{dy} (e^y) = e^y. \text{ Now we need to apply the transformation theorem } f_Y(y) = f_X(e^y) |e^y|$$

But $e^y > 0$, so $|e^y| = e^y$. Using the exponential PDF $f_X(x) = \lambda e^{-\lambda x}$ (5-common Distributions.pdf Page 10)

$$f_Y(y) = \lambda e^{-\lambda(e^y)} \cdot e^y \rightarrow f_Y(y) = \lambda e^y \exp(-\lambda e^y), -\infty < y < \infty$$

④ What we already know from part ③. We are given $X \sim \text{Exponential}(\lambda)$ so $f_X(x) = \lambda e^{-\lambda x}$, $x > 0$ from 5-common Distributions. Also $Y = \log X$. Since $\log(\cdot)$ is strictly increasing on $(0, \infty)$, we can use the 1-1 transformation rule. $f_Y(y) = f_X(x(y)) \left| \frac{dx}{dy} \right| \rightarrow$ Here $x = e^y$ and $\frac{dx}{dy} = e^y$ so...

$$f_Y(y|\lambda) = f_X(e^y) \cdot e^y = \lambda e^{-\lambda e^y} e^y = \lambda e^y e^{-\lambda e^y}, y \in \mathbb{R}$$

Now let's try to rewrite $f_Y(y|\lambda)$ as $g(y-\theta)$. Starting from the density $f_Y(y|\lambda) = \lambda e^y e^{-\lambda e^y}$

The trick is to absorb λ into a shift inside a log, because location forms look like "y minus something".

Notice: $\lambda e^y = e^{\log(\lambda)} e^y = e^{y+\log(\lambda)}$. Also, $\lambda e^y = e^{y+\log(\lambda)} \rightarrow e^{-\lambda e^y} = e^{-e^{y+\log(\lambda)}}$

So:

$$f_Y(y|\lambda) = e^{y+\log(\lambda)} e^{-e^{y+\log(\lambda)}}$$

Now define the location parameter $\theta = -\log(\lambda)$. Then $y-\theta = y-(-\log \lambda) = y+\log \lambda$

Let $u = y-\theta$. Then the density becomes $f_Y(y|\lambda) = e^u e^{-e^u}$

Now we need to identify $g(\cdot)$

We have shown: $f_Y(y|\lambda) = g(y-\theta)$ with $\theta = -\log(\lambda)$ and $\boxed{g(u) = e^u e^{-e^u}, u \in \mathbb{R}}$

Let's check if g is a valid PDF. For that we need to verify $\int_{-\infty}^{\infty} g(u) du = 1 \rightarrow$

$\int_{-\infty}^{\infty} e^u e^{-e^u} du$. Let $t = e^u \rightarrow dt = e^u du$. When $u \rightarrow -\infty, t \rightarrow 0$. so:
when $u \rightarrow \infty, t \rightarrow \infty$

$$\int_{-\infty}^{\infty} e^u e^{-e^u} du = \int_0^{\infty} e^{-t} dt = 1 \text{ so } g \text{ is indeed a density. So,}$$

Yes. The PDF can be written as $f_Y(y|\theta) = g(y-\theta)$ by taking $\theta = -\log(\lambda)$, $g(u) = e^u e^{-e^u}$ then

$$\underline{f_Y(y|\lambda) = \lambda e^y e^{-\lambda e^y} = g(y-\theta)}$$

③ Find $\mathbb{E}[e^Y]$ when $X \sim \text{Exponential}(\lambda)$ and $Y = \log X$

Let's Rewrite e^Y in terms of X .

Given $Y = \log X$ (with $X > 0$ for an exponential rv), we have the identity: $e^Y = e^{\log X} = X$

So the expectations becomes: $\mathbb{E}[e^Y] = \mathbb{E}[X]$

Let's compute $\mathbb{E}[X]$ for $X \sim \text{Exponential}(\lambda)$.

We have two methods

① From 5-Common-Distribution. (page 10) $\mathbb{E}[X] = \frac{1}{\lambda} \rightarrow \mathbb{E}[e^Y] = \frac{1}{\lambda}$

② Using the definition of expectation. Because X is continuous, $\mathbb{E}[X] = \int_{-\infty}^{\infty} x f_X(x) dx$

From Wasserman Def 3.1. For an exponential (λ) rv,

$$E[X] = \int x dF(x) = \begin{cases} \sum_x x f(x) & \text{if } X \text{ is discrete} \\ \int x f(x) dx & \text{if } X \text{ is continuous} \end{cases} ; f_X(x) = \lambda e^{-\lambda x}, x \geq 0$$

so $E[X] = \int_0^{\infty} x \lambda e^{-\lambda x} dx$ now compute the integral by integration by parts:

Let $u = x \rightarrow du = dx$

$$dv = \lambda e^{-\lambda x} dx \rightarrow v = \int \lambda e^{-\lambda x} dx = -e^{-\lambda x}$$

Then:

$$\int_0^{\infty} x \lambda e^{-\lambda x} dx = x(-e^{-\lambda x}) \Big|_0^{\infty} - \int_0^{\infty} (-e^{-\lambda x}) dx = -x e^{-\lambda x} \Big|_0^{\infty} + \int_0^{\infty} e^{-\lambda x} dx$$

Evaluate the boundary term:

At $x=0$: $-x e^{-\lambda x} = 0$

As $x \rightarrow \infty$: $x e^{-\lambda x} \rightarrow 0$, so $-x e^{-\lambda x} \rightarrow 0$.

Thus the boundary term is $0-0=0$. $\rightarrow E[X] = \int_0^{\infty} e^{-\lambda x} dx = -\frac{1}{\lambda} e^{-\lambda x} \Big|_0^{\infty} = 0 - \left(-\frac{1}{\lambda}\right) = \frac{1}{\lambda}$

Therefore $E[e^Y] = E[X] = \frac{1}{\lambda}$